

CONSTELLATION SOFTWARE INC CSU.

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by

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2026 2027

Price:	2,828.00	EPS	0	0
Shares Out. (in M):	21	P/E	0	0
Market Cap (in \$M):	43,210	P/FCF	16.9	13.1
Net Debt (in \$M):	2,496	EBIT	0	0
TEV (in \$M):	45,706	TEV/EBIT	0	0

Description

At 18x FCF TTM (13x 2027) the current valuation exaggerates the AI threat to more than a thousand tiny, niche vertical market software businesses who now have access to AI productivity; and undervalues an acquisition engine with a great track record and longer runway than feared.

(Written by someone who is all too human.)

Constellation Software Inc. ("CSI") is a stock that is very well-known to some members, and somewhat well-known to most; mainly because of its strong, multi-year performance. So don't expect me to provide any dramatic new insight here.

I wrote here on 2/04/26: "I like CSU.TO and bought today below 17x P/FCF TTM, probably low teens 2026 multiple. 10% probability of AI Armageddon would still make that just an average valuation for an above average business."

[#23](https://www.valueinvestorsclub.com/message/SAAS_Bargains/243208)

MarAzul's 2/13/26 write-up was well-timed, and VIC rules prevented a duplicate write-up for 6 months. That buy recommendation followed an unprecedented 60% drawdown for this stock. After peaking in May 2025 on a rich valuation (above 40x), the stock was hit by founder exit and then swamped by AI uncertainty. MarAzul's pitch performed well: up about 28% in less than 4 months and has been closed out.

I write this up now because I believe 2026 has been (and continues to be) a good time to buy this stock for the long-term. The stock is only about 15% off its February lows after adjusting for the earnings achieved since then.

What do we know more about today than back in February?

1. CSI earnings have so far been untroubled by AI threats. I recognize that the technology is fast developing. But we are almost 4 years into this new landscape. In future, each quarter of robust free cash flows would demonstrate that the worst fears from early 2026 were overblown. Mission critical software in companies whose operations rely upon it has not generally been switched out to the CEO's nephew vibe-coding in his dorm. Mainly because those that tried, found him unresponsive to 2AM calls when something went wrong. Saving a few basis points of total expenses was not worth it.
2. AI presents both risks and opportunities to CSI. Turns out the best way to deploy AI for many CSI customers has been to ask their existing software provider, who has often spent years understanding them and their operational challenges. Some CSI subs talk about AI unlocking backlogged "customer wish projects", with scope for revenue growth. Six months on from SaaSocalypse, it seems reasonable to believe that AI productivity benefits will show up at transit software developers before public transit managements. Which was not the case then. The more of these anecdotes you hear, and the fewer cases of overnight zeroes, AI uncertainty seems two-sided at least.
3. Investors who avoid some sectors due to AI risk seem to be missing the point. AI impacts most financial assets. Not just software stocks. At least here the risk shows up as a valuation discount. This week Anthropic insiders also told us that their probabilities of human eradication within a decade is more than 10%: <https://x.com/EvanHub/status/2097497037956891126> Clearly AI is one of the scariest and least predictable factors affecting most of us investors. But the approach I applied in February of assigning a 10% probability of zero expected value still seems a blunt but useful way to handicap the risks. If we make it past 2036, some of the worst fears about CSI may have been proven wrong, and the stock could represent exposure to the gains instead.

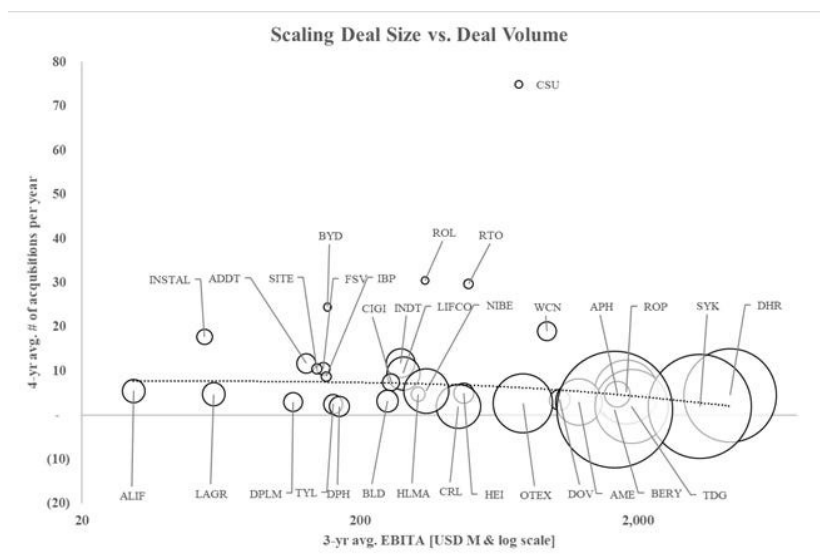
From many years of following this company, what I really like about CSI is:

1. Economies of scale. Just not in the normal way of forcing common suppliers after acquisition, which CSI does not do. The economies of scale that CSI possesses and leverages are:

- a. Data. 1,500+ acquisitions provide rich data sets helping both valuation discipline and operational improvements.
- b. Best practice sharing. Including AI skills. Transformative for tiny VMS businesses, who often do not know what they do not know.
- c. Career progression and variation. The opportunity for employees of tiny, niche companies to go from being a developer, to manager, to acquirer, to coach, *and back again* (a flexibility not offered by external moves), seems to greatly reduce unwanted attrition and talent search costs. Some employees have done the same role for 20 years, and have got really good at it. Others have migrated in every dimension imaginable. The true constraint for a business with CSI's growth trajectory is good people. Providing employees with meaningful, self-determined career trajectories is a great way to remove that bottleneck.
2. Motivation from decentralization. I have had the opportunity to speak to a range of employees over the years, though less than some of you guys might. A common and sincere comment has been: "If I did not have the autonomy I have, I would no longer be here after selling." The motivational aspects of a decentralized structure are easy to underestimate for attracting and retaining talent. Managers who get to choose what they do, and with whom they work, can carry on until quite old, and for CSI can mitigate Fade.
3. Incentives. Zero stock compensation and dilution. Senior execs are forced to buy stock in the market using 75% of after-tax cash bonuses in 4 out of every 5 years. Juniors 25%.
4. Stock valuation impact on incentives. The ever-rising valuation for most of the past couple of decades was becoming a real worry: sure, the long-tenured execs were rich, but how to motivate younger employees forced to pay about 5x the valuations for CSI stock than they were being trained to pay for tiny acquisitions? A more normal valuation fixes that. If uncertainty persists for several years - meaning the multiple does not return to rich levels - this would be the silver lining. Spread compression might also reduce copycat pressure more generally.
5. Valuation discipline. This management team has demonstrated impressive discipline, through a bunch of macro opportunities to lose it.

Consensus Risks

1. AI threat. This could be a zero. Soon. And management might not notice, so continue deploying instead of paying out to shareholders.
2. Low organic growth rates. Like most others, I am closely monitoring organic growth rates for Maintenance and other recurring (FX adjusted). The AI Armageddon threat increases sensitivity to this metric. Q2 2026 was an unfortunate quarter to print 2% (lowest since Covid), though Jamal did have several timing explanations.
3. Fade. Two to three decades in, the runway does not seem static as management adapts and pursues new opportunities. 2026 should be record deployment, again well in excess of FCF.
4. Copy cats. This 2021 chart is a bit old, but what it demonstrates has not really changed: the acquisition engine has capacity to make many tiny acquisitions each year. Constellation is an outlier, by design:



<https://exploringcontext.substack.com/p/studying-serial-acquirers?s=r>

Valuation

This currently trades at 18.1-18.8x P/FCF or EV/UFCF TTM (probably about 13x 2027):

12 months ending (USD millions):

<u>30-Jun-26</u>	<u>FCF definition</u>
2,846	Net cash flows from operating activities
(17)	Interest paid on lease obligations
(206)	Interest paid on debt
(14)	Debt transaction costs
(143)	Payments of lease obligations
(78)	Property and equipment purchased
117	Interest and dividends received
(271)	Less amount attributable to Non-controlling interests
<u>70</u>	<u>Working capital adjustments</u>
<u>2,304</u>	<u>FCF</u>
<u>2,524</u>	<u>UFCF</u>
Check:	
2,031	Stated FCFA2S
(208)	IRGA / TSS membership liability revaluation charge
(5)	difference FCF to stated FCFA2S excl. working capital changes
<u>18.8 x</u>	<u>P/FCF TTM</u>
<u>18.1 x</u>	<u>EV/UFCF TTM</u>

Smart people disagree on what multiple would be considered attractive. For example, in February 2026 ahnuld argued:

“On an UFCF basis, looks to be trading about 19x trailing FCF to EV. So prob 16-17x forward. But that seems right to me? I could see someone argue it should be 20x because they have a good track record on acquiring at 4-5x and squeezing cash flow out of it, but again, for a 4% grower organically that would prob. be it imo.”

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To clarify implied assumptions from the current valuation, it makes sense to split this company valuation into two: the organic growth (steady-state) business and a separate acquisition engine.

A standard Gordon growth valuation:

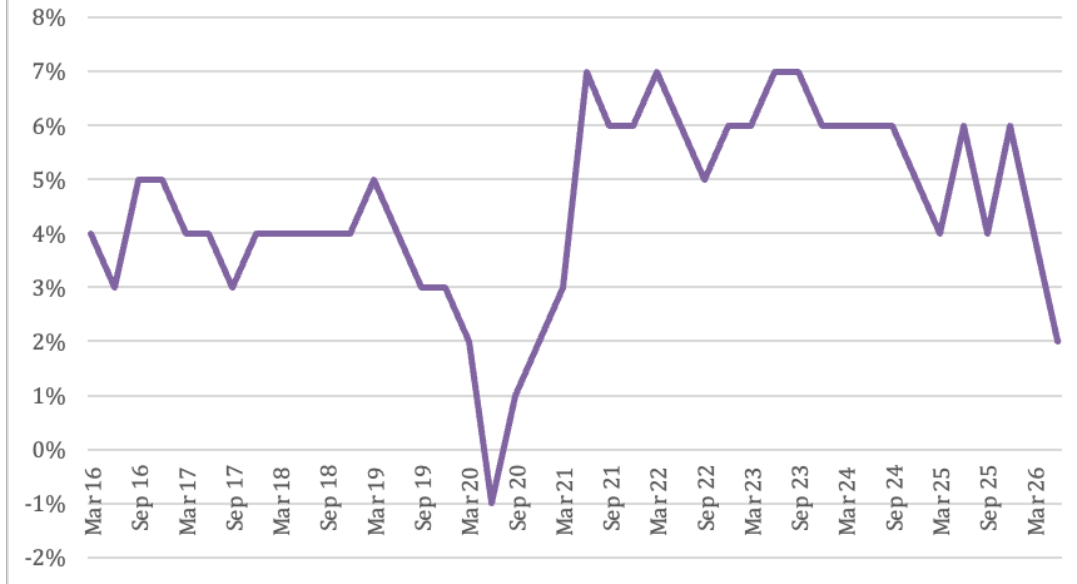
$$V_{\text{total}} = \frac{FCF_0 \cdot (1+g)}{K_e - g} + V_{\text{acquisition engine}}$$

...reveals that the current valuation implies about zero for the acquisition engine at 10% cost of equity and 4% organic growth.

$$17.3x = \frac{(1+4\%)}{(10\% - 4\%)} \quad \text{or} \quad 20.8x = \frac{(1+4\%)}{(9\% - 4\%)}$$

Zero seems like a bargain, but is 4% organic growth sustainable?

Organic growth rates (fx adjusted). (Maintenance is 77% of total revenues June '26)



Management thinks that 4% is not challenged going forward. But even if organic growth did end up at only 2% going forward, with a small relaxation to 9% cost of equity, 14.6x would be the new steady growth fair multiple. That implies you would be paying \$9bn for the acquisition engine which currently deploys \$2.7bn annually into acquisitions at above hurdle rates. Maybe not a complete disaster.

Buffett wrote of the rarity of companies that can consistently deploy 100% of FCF into genuinely high return growth projects:

"Leaving the question of price aside, the best business to own is one that over an extended period can employ large amounts of incremental capital at very high rates of return.

...Unfortunately, the first type of business is very hard to find"

<https://www.berkshirehathaway.com/letters/1992.html>

Bottom line: I expect CSI to continue to employ large amounts of incremental capital without lowering their hurdle rates. Paying 18x TTM or 5.5% is around an average long-term price for a decent business without a significant redeployment engine. The current valuation represents a discount to intrinsic value because of the rarity of that engine.

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Catalyst

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Messages

No messages